

INSURANCE AND PENSIONS COMMISSION



MARKET STATISTICS FOR LIFE ASSURERS

FOR THE YEAR ENDED 31 DECEMBER 2010

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LIST OF ACRONYMS AND ABBREVIATIONS

GPW – Gross Premium Written

NPI – Net Premium Income

GPI – Gross Premium Income

FML – First Mutual Life Company

Note: All Figures are in USD

EXECUTIVE SUMMARY

There were 9 registered companies as at 31 December 2010 down from 10 from the previous year. This was a result of deregistration of Paul Mkondo Life Assurance Company and Universal Life for failure to meet the minimum required capital of \$500 000 by 30 June 2010 deadline and the registration of CBZ Life. The statistics contained herein is for 8 players as CBZ Life was yet to operate as at 31 December 2010 year end.

The life insurance industry had an asset base of \$982.6 million as at 31 December 2010 which was skewed towards equities which accounted for 48% of the total assets. The asset base grew by 26% from the \$778.4 million reported as at 31 December 2009. The increase in assets was attributed to growing business as a result of a recovering and stable economy after introduction of the multi-currency regime. The proportion of assets held in the money market increased by 5 percentage points from 1.4% to 6.5% to total assets over the period under review on the back of improvements in liquidity in the market.

It is of concern that invariably half of the industry's assets are in the highly volatile equities market, which heightens potential for systemic risk should the stock market fail to perform and in the worst scenario, crash. Other investment options including prescribed assets were scarce and this constrained management of this apparently inherent risk.

There were presentations by the industry to invest offshore, a proposal which is under consideration.

There is high industrial concentration where Old Mutual controlled 88% of the total assets as at 31 December 2010 and the second largest competitor held 5%. It can be concluded that technically this is a monopolistic market structure.

All life insurers, as at 31 December 2010 were adequately capitalized in terms of the minimum required capital of \$500 000 except for one player. As with the case of the short-term market, the Commission will conduct a capital verification exercise in the industry during the second half of the year.

The annualized GWP for 2010 was \$58.46 million. This was a growth of 69% from \$34.57 million recorded in 2009. The growth was a result of increased disposable incomes emanating from the economy which is on the rebound and public confidence that is returning to the insurance industry.

Generally the industry has a high appetite for risk, with average retention ratio of 97.7% as at 31 December 2010. The ratio varied from 40% to 100%, with only one player reporting a retention rate of less than 88%.

WAY FORWARD

The Commission will be introducing a revised reporting format for life companies to ensure more disclosures are made to enhance off-site surveillance and improve the quality of reports produced for the market. Going forward, reports for the life insurance and pensions will be on a quarterly basis

1. INTRODUCTION

There were 9 registered companies as at the end of the year 2010 down from 10 from the previous year. This was after Paul Mkondo Life Assurance Company and Universal Life were deregistered after failing to raise the minimum required capital of \$500 000 by 30 June 2010 and the entry of CBZ Life in the market during the year. CBZ had not started operations by year end hence the report does not include statistics on this institution.

2. ASSET BASE

The life insurance industry had an asset base of \$982.6 million as at 31 December 2010. This was a 26% growth from the \$778.4 million reported as at 31 December 2009. The increase in assets was attributed to growing business and repricing of assets on the background of an economy that is on the recovery trend. The introduction of the multi-currency regime has brought stability and has assisted growth of business. It is however, still the general perception in the market that assets are still undervalued due to the prevailing liquidity constraints within the economy. As the economy continues to recover and liquidity conditions improve, potentially locked up value in assets will be released to the benefit of policy holders.

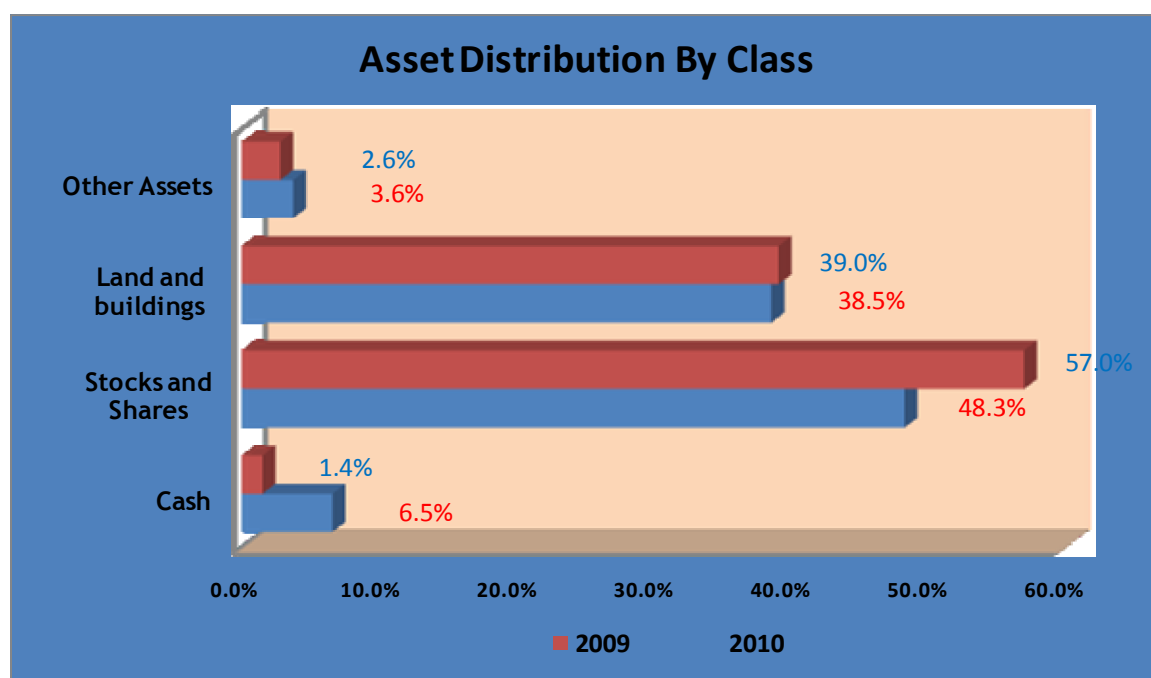
Table 1: Life Industry Asset Base

	Stock and Shares	Land & Buildings	Cash	Other Assets	Total Assets
Altfin	1,740,561	402,500	486,621	2,291,012	4,920,694
Evolution	591,699	-	15,226	587,077	1,194,002
Fidelity	2,906,860	3,448,207	1,367,635	8,063,417	15,786,119
FML	37,382,573	-	748,999	11,891,934	50,023,506
IGI	300,000	211,650	55,225	193,808	760,683
Old Mutual	405,217,938	362,438,850	59,129,038	38,675,473	865,461,299
Zb Life	17,762,911	2,923,999	115,218	2,697,033	23,499,161
Zimnat	8,208,982	9,073,000	1,467,548	2,190,330	20,939,860
Total	474,111,524	378,498,206	63,385,510	35,297,242	982,585,324

3. ASSET COMPOSITION

Life insurance assets were skewed towards equities, which accounted for 48.3% of the total assets as at 31 December 2010, down from 57 % reported in the previous year. Holdings of land and building marginally decreased from 39% to 38.5%. The proportion of assets in money market investments (cash), increased by 5 percentage points from 1.4% to 6.5%. Refer to figure 1 which also reflects an increase in the holding of other assets by one percentage point to 3.6%, as at 31 December 2010 compared to the position as at 31 December 2009. The shift in the portfolio was an indication of improved liquidity in the market, designed to timely meet obligations as they fell due.

Figure 1: Composition of Assets



It is of concern that invariably half of the industry's assets are in the highly volatile equities market, which heightens potential for systemic risk should the stock market fail to perform and in the worst scenario, crash. It is however unfortunate that there are limited viable investment options in the economy to mitigate this apparently inherent risk.

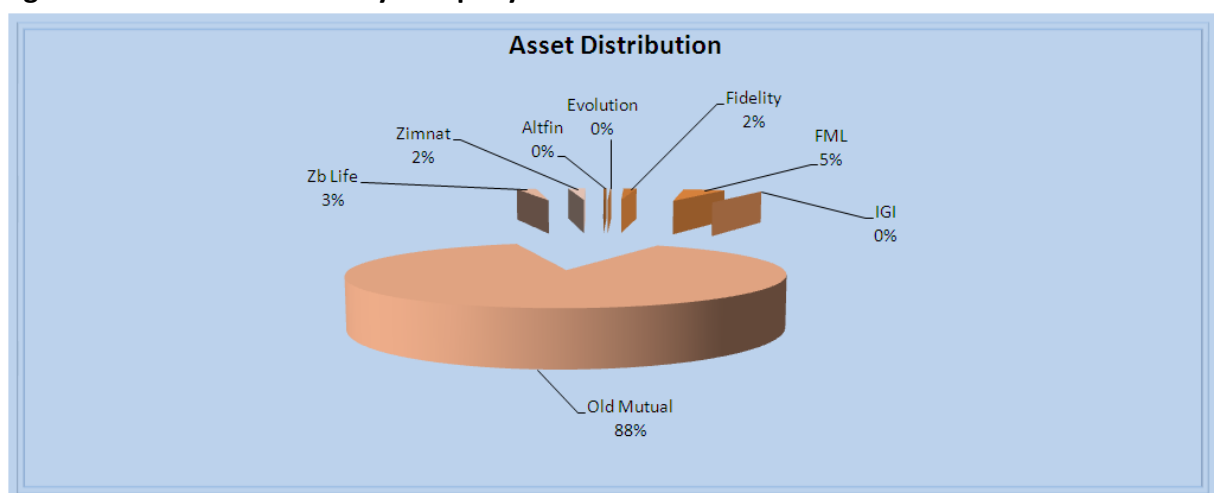
Instruments with prescribed assets status were not available for the better part of 2010. A \$50 million CBZ Economic Recovery Bond was issued during the last quarter of 2010. This bond was not readily available to the insurance and pension industry as it was mainly offered offshore. Hence the sector closed the year with no prescribed assets on its balance sheet. In addition to the \$50 million bond, two agricultural bonds were issued during the first quarter of 2011. There was a \$30 million ZB Bank Agricultural Bond and a \$10 million Agribank Bond with approved prescribed assets status.

However, to date the subscription by the insurance and pension industry on the bonds is lower than anticipated. There were presentations by the industry to invest offshore, a proposal which is under consideration although it is in conflict with both the Insurance and Pensions and Provident Funds Act. However as long as there remain under subscribed domestic prescribed assets, the case for externalizing investments by the insurance and pension fund industry will be self defeating.

4. MARKET SHARE BY ASSET BASE

If the life insurance sector is considered in terms of asset concentration, where Old Mutual controlled 88% of the total assets as at 31 December 2010, it can be concluded that technically this was a monopoly market structure. The second largest competitor had a market share of 5%. The status of the industry in terms of asset concentration is shown in figure 3 below.

Figure 2: Asset Distribution by Company



5. CAPITAL AND LIABILITIES

All life insurers, as at 31 December 2011 were adequately capitalized in terms of the minimum required capital of \$500 000 except Altfin. The Commission has engaged and directed the concerned player to recapitalize.

As is the case with the short-term market, the Commission will conduct capital verification exercise in the industry during the second half of 2011. The objective of the exercise, among other things, will be to authenticate reported capital figures and check on compliance by insurance companies to requirements of the Companies Act to state authorized capital in US Dollars.

Table 2: Capital and Liabilities

	Issued Share Capital	*Other Capital	Actuarial Reserves	Outstanding Claims	Retained Earnings	Other Liabilities	Total
Altfin	542,000	-	-	284,823	-352,240	4,446,111	4,920,694
Evolution	2	771,068	317,914	-	-5,655	110,672	1,194,001
Fidelity	1,185,317	-	8,515,729	658,656	1,532,434	3,893,983	15,786,119
FML	201	201	30,576,434	2,941,287	3,404,014	13,101,369	50,023,506
IGI	30,000	-	316,760	-	25,504	388,419	760,683
Old Mutual	30,121,844	-	752,876,921	1,179,432	73,597,963	7,685,139	865,461,299
Zb Life	250,000	4,750,000	19,055,243	88,443	- 1,251,160	606,635	23,499,161
Zimnat	50,000	450,000	13,993,580	-	2,906,918	3,539,362	20,939,860
Total	32,179,364	5,971,068	825,652,581	5,152,641	79,857,778	30,472,280	82,585,323

*Other Capital includes reserves, share premium and revaluation reserves

Contrary to prudential insurance accounting, which makes it mandatory to provide for actuarial reserves, two players did not provide for this contingent liability, thus technically overstating their solvency positions.

6. WRITTEN BUSINESS

The annualized GWP for 2010 was \$58.46 million. This was a growth of 69% from \$34.57 million recorded in 2009. The growth was a result of increased disposable incomes emanating from the economy which is on the rebound and public confidence that is returning to the insurance industry. The market share for the new business written in 2010 is depicted

Table 3: Gross Written Premium/ Net Premium Income

	GPW	NPI	% Contribution on GPI	% Contribution on GNPI
Altfin	1,896,218	1,896,218	3.24%	3.32%
Evolution	432,385	174,730	0.74%	0.31%
Fidelity	4,852,970	4,751,672	8.30%	8.31%
FML	13,992,086	13,823,949	23.93%	24.19%
IGI	210,010	206,656	0.36%	0.36%
Old Mutual	26,165,659	26,131,523	44.76%	45.72%
Zb Life	4,958,214	4,908,330	8.48%	8.59%
Zimnat	5,951,801	5,266,064	10.18%	9.21%
Total	58,459,343	57,159,142	100.00%	100.00%

7. REINSURANCE AND RETENTION

Generally the industry has a high appetite for risk, with average retention ratio of 97.7% as at 31 December 2010. The ratio varied from 40% to 100%, with only one player reporting a retention rate of less than 88%.

Table 4: Retention by Company

	GPW	Reinsurance	Reinsurance as a % Of GPW	Retention as a %
Altfin	1,896,218	0	0.00	100.00
Evolution	432,385	257,655	59.59	40.41
Fidelity	4,852,970	101,298	2.09	97.91
FML	13,992,086	168,137	1.20	98.80
IGI	210,010	2,350	1.12	98.88
Old Mutual	26,165,659	34,136	0.13	99.87
Zb Life	4,958,214	49,884	1.01	98.99
Zimnat	5,951,801	685,737	11.52	88.48
Total	58,459,343	1,299,197	2.22	97.78

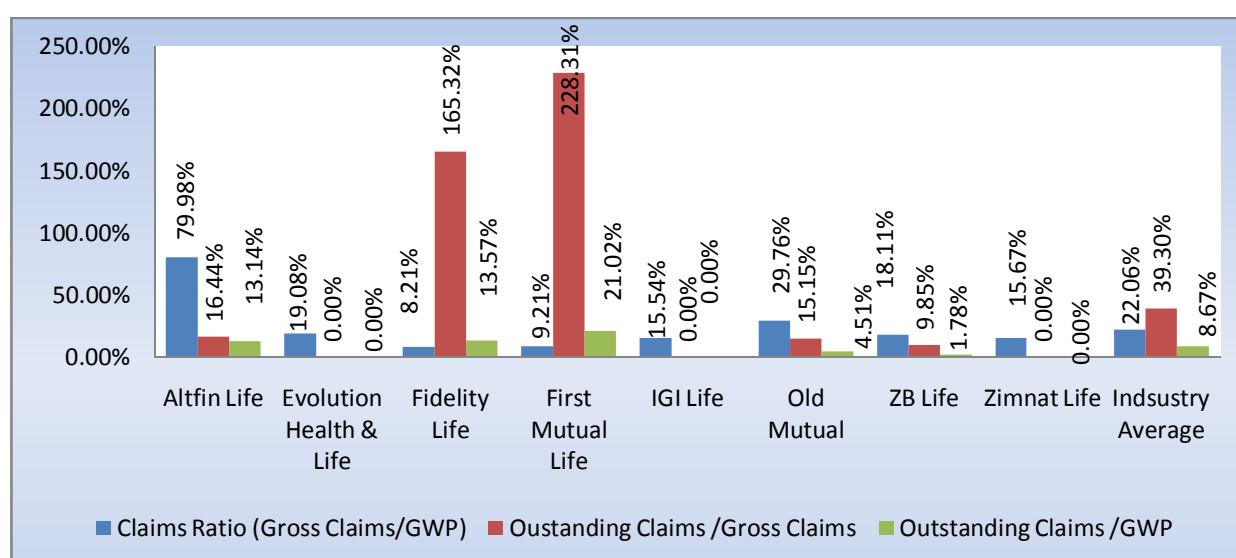
8. CLAIMS

Reported claims decreased from \$14.02 million to 13.02 million, a 7% decreased for the period ending 31 December 2010 compared to the previous year. The industry average claims ratio defined as total claims to gross written premium was 22% as at 31 December 2010. The average outstanding claims to gross claims ratio of 39%, which is higher than the claims ratio is an indication that claims are not being timely settled. The Commission is taking particular interest in the sector's handling of claims, given the claims complaints that continue to escalate. Outstanding claims to gross claims ratio as high as 228% as reported by First Mutual Life is being investigated. The Commission is going to come up with acceptable limits. Refer to table 4 for claims statistics.

Table 5: 2010 Claims

	Claims Ratio (Gross Claims/GWP)	Outstanding Claims /Gross Claims	Outstanding Claims /GWP
Altfin Life	79.98%	16.44%	13.14%
Evolution Health & Life	19.08%	0.00%	0.00%
Fidelity Life	8.21%	165.32%	13.57%
First Mutual Life	9.21%	228.31%	21.02%
IGI Life	15.54%	0.00%	0.00%
Old Mutual	29.76%	15.15%	4.51%
ZB Life	18.11%	9.85%	1.78%
Zimnat Life	15.67%	0.00%	0.00%
Industry Average	22.06%	39.30%	8.67%

Figure 3: Claims Ratios



Total claims decreased by 7 % from \$14 million to \$13 million in 2010 as compared to 2009. The average claims ratio for the industry was 22% as at 31 December 2010. However of concern is the outstanding claim to gross claims ratios for some players, which outstripped the claims ratios. This reflects serious challenges in timely meeting claims obligations by the concerned companies. The Commission is increasing its monitoring of claims settlement and will soon come up with appropriate guidelines.